

Phase 1: System Setup (One-Time Configuration)

Before employees start using the module, the ERP team must configure the base settings:

1. Set Up Expense Claim Types

- Go to **HR > Expense Claim Type**.
- Create categories: **Fuel & Transport, Site Labor & Freight, Food & Lodging, Plant Maintenance Spares, Client Entertainment**.
- Map each type to its respective **Default Account/Ledger** (e.g., Fuel Expense Account).

ERP > HR > Expense Claim > New Expense Claim

Search or type a command (Ctrl + G) SG

New Expense Claim Not Saved Save

Expenses & Advances Accounting More Info

Series * HR-EXP-.YYYY.- Expense Approver *

From Employee * Approval Status Draft

Department

Company * Q10Analytics

Company GSTIN

Expenses

☐	No.	Expense Date	Expense Claim Type *	Description	Amount *	Sanctioned Amount	
☐	1	21-09-2026			₹ 0.00	₹ 0.00	

Add Row

2. Define Cost Centers & Projects

- Go to **Accounting > Cost Center** and set up locations (e.g., **HO Admin**).
- Go to **Projects > Project** and create project entries for active erection sites (e.g., **Project - Site Alpha**).

3. Build Approval Workflows

- Go to **Workflow > Workflow Builder**.
- Create a workflow for **Expense Claim** and **Employee Advance**:
 - **Level 1:** Draft $\rightarrow$ Submitted (Employee)
 - **Level 2:** Pending HOD Approval $\rightarrow$ Approved by HOD
 - **Level 3:** Pending Accounts Verification $\rightarrow$ Sanctioned & Paid

Phase 2: Requesting an Employee Advance (Before Expenses Occur)

Use this process when an employee needs funds prior to visiting a site or purchasing plant supplies.

- **Step 1: Create Request (Employee)**
 1. Open the **Frappe HR App** or Web Portal.
 2. Go to **Employee Advance** → Click **New**.
 3. Select **Purpose** (e.g., *Site Visit Transport Charges*).
 4. Enter the **Claimed Amount** (e.g., ₹10,000).
 5. Select **Mode of Payment** (e.g., Bank Transfer) and **Save & Submit**.
- **Step 2: Approval (HOD / Manager)**
 1. Manager receives notification → Reviews purpose and budget.
 2. Clicks **Approve**.
- **Step 3: Payout (Accounts Team)**
 1. Accounts opens the approved **Employee Advance**.
 2. Clicks **Make Payment Entry**.
 3. Selects company bank account and completes the transfer. Status changes to **Paid**.

Phase 3: Submitting Expense Claims (After Expenses Occur)

Use this process when an employee incurs expenses out-of-pocket or uses an advance.

- **Step 1: Create Claim Entry (Employee)**
 1. Open **Frappe HR Mobile App** → Go to **Expense Claim**.
 2. Click **New** → Tap **Snap Receipt** to upload a photo of the bill/invoice.
 3. Add line items:
 - **Expense Type:** Select **Fuel**, **Labor**, etc.
 - **Amount:** Enter bill amount.
 - **Cost Center / Project:** Select the respective site name or manufacturing plant.
 4. **Link Advance (Crucial):** Under the *Advances* table, select the **Employee Advance ID** previously taken.
 5. Click **Submit**.
- **Step 2: Functional Review (HOD / Site Manager)**
 1. Check uploaded receipts against the company travel policy.
 2. If valid, click **Approve**.
- **Step 3: Verification & Tax Adjustment (Accounts Team)**
 1. Check bill validity, GST details, and cost center allocation.
 2. **Partial Approval:** If an item is unapproved (e.g., personal meal), adjust the **Sanctioned Amount**.
 3. Add GST/Taxes under the **Taxes & Charges** section for Input Tax Credit (ITC).
 4. Click **Submit**.

Phase 4: Reconciliation & Final Settlement

ERPNext automatically calculates the net balance between advances and total expenses:

- ## Phase 5: Financial Accounting & Analytics (Management Control)

- Upon final approval, ERPNext auto-generates ledger entries:

$$\begin{array}{l} \text{\$}\text{\$}\text{\texttt{Debit: Respective Expense Accounts (by Cost Center)}}\text{\$}\text{\$} \\ \text{\$}\text{\$}\text{\texttt{Credit: Employee Payable / Bank Account}}\text{\$}\text{\$} \end{array}$$

- **Expense Claim Summary:** Track spending by Site, Project, or Department.
- **Employee Advance Summary:** View outstanding unadjusted advances per employee.
- **Accounting Ledger:** General ledger audits for tax compliance and expense monitoring.